CLOSING STATEMENT

Beacon Self Storage | Buffalo, NY

Property	Beacon Self Storage
Settlement Date	January 5, 2023
Buyer	Cascadia Rock Capital
Seller	Pemberton Real Estate Fund III
Sale Price	$9,840,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$9,840,000			
Earnest money deposit		$42,464	$42,464	
Real estate tax proration	$37,098			$37,098
Rent proration			$18,240	
Security deposits assumed	$61,409	$61,409		
Prepaid rents			$9,487	$9,487
Owner's title policy premium	$87,848			
Lender's title policy premium		$53,432	$53,432	
Escrow fee	$47,423			$47,423
Recording fees			$37,659	
Transfer tax	$25,938	$25,938		
Survey			$90,708	$90,708
Legal fees - Buyer	$14,600			
Legal fees - Seller		$33,055	$33,055	
Broker commission	$14,113			$14,113
Loan origination fee			$71,618	
Lender legal	$75,793	$75,793		
Appraisal fee			$18,746	$18,746
Environmental report	$9,550			
Property condition report		$3,248	$3,248	
Tax escrow deposit	$40,567			$40,567
Insurance escrow deposit			$4,001	
Replacement reserve deposit	$18,158	$18,158		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$9,840,000			
Legal fees - Seller		$63,799	$63,799	
Broker commission	$25,882			$25,882
Loan origination fee			$66,787	
Lender legal	$61,064	$61,064		
Appraisal fee			$28,550	$28,550
Environmental report	$47,494			
Property condition report		$84,359	$84,359	
Tax escrow deposit	$43,274			$43,274
Insurance escrow deposit			$45,910	
Replacement reserve deposit	$74,029	$74,029		
Utility deposits			$93,836	$93,836
Assumed vendor contracts credit	$49,142			
Tenant improvement credit		$31,146	$31,146	
Courier / wire fees	$69,552			$69,552
Municipal certificates			$56,572	
Purchase price	$42,212	$42,212		
Earnest money deposit			$11,683	$11,683
Real estate tax proration	$22,340			
Rent proration		$64,096	$64,096	
Security deposits assumed	$39,574			$39,574
Prepaid rents			$80,843	
Owner's title policy premium	$97,413	$97,413		
Lender's title policy premium			$8,783	$8,783
Escrow fee	$34,169			
Recording fees		$4,045	$4,045	
Transfer tax	$62,901			$62,901
Survey			$55,691	

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Income and Expense Review

Operating expenses totaled $266,000 or approximately 9.14 per square foot, with real estate taxes representing the largest line item. Physical occupancy is 94.0% and the average in-place rent is $105 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period.

Physical occupancy is 88.2% and the average in-place rent is $105 per unit per month. Debt service coverage ratio was 7.89x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.07% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Valuation Discussion

Debt service coverage ratio was 8.11x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $432,000 or approximately 20.86 per square foot, with real estate taxes representing the largest line item. Physical occupancy is 94.0% and the average in-place rent is $105 per unit per month. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Physical occupancy is 92.7% and the average in-place rent is $105 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Operating expenses totaled $459,000 or approximately 37.78 per square foot, with real estate taxes representing the largest line item. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Debt service coverage ratio was 5.98x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Operating expenses totaled $322,000 or approximately 20.80 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.58x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Effective gross income for the trailing period was $210,000, representing a 13.5% increase over the prior year.

Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $363,000, representing a 2.7% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 5.89% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$9,840,000			
Tenant improvement credit		$61,670	$61,670	
Courier / wire fees	$28,519			$28,519
Municipal certificates			$53,591	
Purchase price	$47,475	$47,475		
Earnest money deposit			$70,212	$70,212
Real estate tax proration	$65,172			
Rent proration		$8,477	$8,477	
Security deposits assumed	$93,226			$93,226
Prepaid rents			$93,859	
Owner's title policy premium	$75,013	$75,013		
Lender's title policy premium			$17,058	$17,058
Escrow fee	$4,735			
Recording fees		$76,898	$76,898	
Transfer tax	$10,044			$10,044
Survey			$83,466	
Legal fees - Buyer	$70,041	$70,041		
Legal fees - Seller			$43,151	$43,151
Broker commission	$13,112			
Loan origination fee		$47,845	$47,845	
Lender legal	$59,597			$59,597
Appraisal fee			$37,086	
Environmental report	$57,027	$57,027		
Property condition report			$22,956	$22,956
Tax escrow deposit	$93,898			
Insurance escrow deposit		$71,418	$71,418	
Replacement reserve deposit	$15,583			$15,583
Utility deposits			$22,529	

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